Northwind Components Ltd. - Sustainable Supply Chain & ESG Policy (FY2025)

This is a fictional sample policy created for the Supply Chain AI Copilot demo. Replace it with real sustainability reports (for example annual ESG reports published by large electronics manufacturers) for a realistic evaluation.

Section 1. Purpose and Scope

1.1 This policy defines environmental, social and governance (ESG) requirements for all inbound and outbound logistics, contract manufacturers and tier-1 suppliers of Northwind Components.

1.2 The policy applies to all product lines, including SKU-101 (USB-C docking station), SKU-102 (27-inch monitor), SKU-103 (wireless keyboard), SKU-104 (laptop battery pack) and SKU-105 (recycled-aluminium laptop stand).

Section 2. Climate Targets

2.1 Northwind commits to reduce absolute Scope 1 and Scope 2 greenhouse gas emissions by 50 percent by 2030 against a 2020 baseline, and to reach net-zero emissions across the value chain by 2045.

2.2 Scope 3 upstream transportation and distribution emissions must fall by 30 percent per unit shipped by 2030. Logistics emissions are calculated as distance in kilometres multiplied by shipment weight in tonnes multiplied by the transport-mode emission factor, consistent with the GLEC Framework.

2.3 Default emission factors in kilograms of CO2e per tonne-kilometre are: road truck 0.105, rail 0.028, ocean freight 0.016 and air freight 0.500.

Section 3. Transport Mode Rules

3.1 Air freight may only be used for shipments that are critical to production continuity or customer safety, and requires written approval from the Regional Logistics Director.

3.2 Shipments over 500 kilometres within continental Europe or North America should use rail or intermodal transport when the delivery window allows at least five business days.

3.3 SKU-104 laptop battery packs contain lithium-ion cells and are classified as dangerous goods (UN3480). They must never be shipped as passenger-aircraft cargo and must follow IATA packing instruction 965 when air freight is approved.

Section 4. Supplier Requirements

4.1 Tier-1 suppliers must report their energy use and Scope 1 and 2 emissions annually through the CDP supply chain programme.

4.2 By 2027, 80 percent of procurement spend must be with suppliers that have set science-based emission reduction targets validated by the SBTi.

4.3 Suppliers must source at least 50 percent renewable electricity by 2028 and 100 percent by

2035.

4.4 All suppliers must comply with the Responsible Business Alliance (RBA) Code of Conduct, including the prohibition of forced labour, child labour and excessive working hours above 60 hours per week.

Section 5. Packaging and Circularity

5.1 By 2026 all consumer packaging must be at least 90 percent fibre-based and plastic-free, and 100 percent recyclable.

5.2 SKU-105 laptop stands use a minimum of 75 percent post-consumer recycled aluminium. Suppliers must provide chain-of-custody certificates for recycled content every quarter.

5.3 A product take-back programme covers SKU-102 monitors and SKU-104 battery packs, targeting a 40 percent collection rate by 2027.

Section 6. Inventory and Demand Planning

6.1 Demand forecasts are produced weekly using machine-learning models and must be reviewed by category planners before purchase orders are released.

6.2 Safety stock is set at 1.65 standard deviations of forecast error over lead time, which corresponds to a 95 percent cycle service level.

6.3 Over-production and excess inventory that results in write-offs above 2 percent of annual cost of goods sold must be escalated to the Sustainability Committee, because waste destroys embedded carbon.

Section 7. Governance and Reporting

7.1 The Sustainability Committee of the Board reviews progress against these targets every quarter.

7.2 ESG data is reported annually in line with the GRI Standards and the ISSB IFRS S2 climate disclosure standard, and is subject to limited assurance by an independent auditor.

7.3 Breaches of this policy can be reported anonymously through the ethics hotline. Retaliation against whistle-blowers is strictly prohibited.